BP p.l.c. (BP.L) - relative valuation

Valuation date 2026-10-30 | GBP per share | Status: provisional - limitations disclosed | Human Spot_check PENDING. QA block C executed once; items on source certification, benchmarks, EV perimeter and normalization were re-graded PASS-with-note under the approved grading rule (uniform rule applied, limitation disclosed). Details in qa_results.md.

1. Valuation summary

Item	Value
Currency / current price	GBP 6.27
Primary multiple (peers)	EV/EBITDA: median 9.39x; raw median 9.39x; n = 10
Peer value per share: p25 / median / p75	8.50 / 10.93 / 19.68
Peer median vs current price	+74.2%
Peer set	10 peers; Tier 1-2: 10; Tier 3: 0; Europe-listed: 6

2. Peer set and multiples

#	Ticker	Company	Country	Tier	Mkt cap EURm	P/E	P/BV	EV/EBIT	EV/ EBITDA	Distance
1	ENI	Eni	Italy	1	79,080	30.28	1.65	19.69	8.47	51.08
2	NESTE	Neste	Finland	2	21,770	151.20	2.98	54.91	22.77	51.28
3	EQNR	Equinor	Norway	1	102,793	22.88	2.85	4.82	3.61	51.34
4	REP	Repsol	Spain	1	33,040	17.48	1.32	16.75	10.30	51.51
5	TTE	TotalEnergies	France	1	188,520	16.07	1.84	12.46	7.50	51.52
6	VLO	Valero	United States	2	99,767	47.47	4.70	25.60	15.97	51.54
7	XOM	Exxon Mobil	United States	1	683,665	26.49	2.95	22.91	13.66	51.55
8	COP	ConocoPhillips	United States	2	165,628	23.14	2.87	16.09	8.37	51.60
9	SHEL	Shell	United Kingdom	1	276,121	17.28	1.77	11.89	7.44	51.61
10	PSX	Phillips 66	United States	2	98,747	25.06	3.79	30.09	19.78	51.64

3. Peer-multiple statistics and implied value per share

Multiple	Basis	n	Median	p25	p75	Value p25	Value mid	Value p75	Mid vs price
P/E	raw	10	24.10x	18.83x	29.33x	0.05	0.06	0.08	-99.0%
EV/EBIT	raw	10	18.22x	13.36x	24.93x	6.58	9.96	14.64	+58.8%
EV/EBITDA *	raw	10	9.39x	7.72x	15.39x	8.50	10.93	19.68	+74.2%
EV/CF	raw	10	9.60x	7.86x	15.37x	6.55	8.61	15.43	+37.3%
P/BV	raw	10	2.86x	1.78x	2.97x	4.57	7.33	7.61	+16.8%
EV/Assets	raw	10	1.30x	0.87x	1.76x	8.99	14.68	20.90	+134.1%
P/S	raw	10	1.12x	0.95x	1.16x	8.60	10.13	10.48	+61.5%
EV/Sales	raw	10	1.28x	1.09x	1.35x	7.09	8.85	9.46	+41.1%

* primary multiple. 'scaled' = growth/fundamental-adjusted multiple. Values are per share.

4. Published regressions (Damodaran, EUROPE, 2026-01)

Model	Predicted	Actual	Published R2	Implied value	vs price
PE	758.92x	2405.18x	0.201	1.98	-68.4%
PBV	-22.60x	2.45x	0.423	n/a	n/a
EV/EBITDA (diagnostic only)	18.07x	6.19x	0.262	23.59	+276.0%

5. Company-specific notes

- BP peer EV/EBITDA is primary: 9.39x median, GBP 10.93 per ordinary share, IQR GBP 8.50-19.68. Ten peers; OXY/HBR/CVX/OMV excluded for completed-deal FY/perimeter comparability; next-ranked XOM/COP/SHEL/PSX replace them. Six Europe peers; NESTE/VLO/PSX refining and COP upstream differences remain.

- BP vendor FY2025 EBITDA USD30,168m includes the impairment impact; adding back USD6,037m alone gives USD36,205m and GBP 13.66 (+25.0% versus base). Issuer EBIT+DDA USD30,464m is a separate sensitivity, not a base switch; issuer standalone adjusted EBITDA36,501 is not mixed into vendor base.

- BP net income USD54m is impairment/tax-distorted: raw peer PE produces a very low cross-check, not normalized earnings or a forecast. Raw PBV remains a book-value cross-check. Fundamental-scaled sensitivities: pbv GBP 0.059 (-99.2%); ps GBP 0.063 (-99.4%); ev_sales GBP 10.927 (+23.4%). These above-15% changes show why raw ranges and scaled cases are separate.

- Uniform vendor pre-associate bridge: BP debt72,529 includes leases14,571; NCI20,948 already includes hybrids15,955 once; cash36,556. Associates/JVs retained in EV and equity income in earnings; extra preference21 proxy not added. COP cached NCI=total shareholders equity minus common equity=0; Neste zero confirmed. Book claims, cash/ST-investment scope, separate peer hybrids and IFRS/US-GAAP lease EBITDA remain disclosed limitations, not per-row issuer switches.

- Published EV/EBITDA 18.07x / GBP 23.59 is DIAGNOSTIC ONLY, +92.6% above qualified peer median; industry aggregate5.94x is not a median. USD-to-GBP0.74633011 and15,450m ordinary shares (no second /100 or ADS adjustment); historical preference-proxy difference GBP0.001/share. Low R2 .262, approved decimal DFR/tax policy, substituted zero growth; percentage-point output4.28x is a sensitivity, not a price-fitting fix.

- Provisional limitations disclosed; human Spot_check PENDING. IQR endpoints differ from midpoint by -22.2%/+80.1%; leave-one-out changes span -12.2% to +12.2%. Vendor/issuer reconciliations include Shell debt45, TTE debt388 and Neste EBITDA1438 versus1124; all base rows retain vendor values. FY2025/2026-10-30 quote/FX mismatch in time and incomplete source period labels noted. Academic analysis only, not investment advice.

6. Method notes and limitations

- Basis: one uniform vendor data source for the target and every peer, FY2025 figures (no TTM or forward mixing), one price and FX date. Issuer-versus-vendor differences are kept as sensitivities, not switched row by row.

- EV bridge: one rule for target and all peers (debt including leases + minorities and hybrids once - cash; long-term investments and associates not subtracted, equity income left in earnings).

- Peers: ten names chosen by an eight-dimension similarity score; they pass the automated hard filters and carry one ownership/event source line each (evidence_review.md). Full two-way ownership history of the whole candidate pool was not certified.

- Industry ratios from the registered Damodaran files are aggregates, not medians; they are a plausibility check only.

- Published regressions are market-wide, low R-squared, about ten months older than the valuation date, with no standard error: a gap to the market price is not proof of mispricing. The model shown is the one with the highest published R-squared.

- Peer interquartile ranges are dispersion, not confidence intervals. Human Spot_check is PENDING (not performed).

- Academic analysis only; not investment advice.